

# DRIVING FORCES OF CHANGING LANDSCAPE

| SUCCESSION<br>AND GENERATIONAL CHANGES<br>IN FAMILY BUSINESSES                    | GLOBAL AMBITIONS<br>AND OPPORTUNITIES                                             | SCALE-UP                                                                          | PIVOTING DUE TO<br>EXTERNAL FACTORS                                                 |
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like ITC Ltd and Larsen and Toubro Ltd (L&T).

ITC runs companies in Fast Moving Consumer Goods (FMCG), paper boards and packaging and agricultural businesses along with independent companies in infotech and hotels. L&T has a dozen companies in engineering, realty, infotech and software development, construction, technology and finance. Finally, mirroring a unique group of global digital giants like Alphabet Inc. (Google) and Amazon.com Inc. are Indian Internet companies, of which Info Edge (India), the parent of *naukri.com*, is an epitome with a presence in recruitment, matrimony, real estate and education.

Says J. Ramachandran, retired Professor of Strategy at the Indian Institute of Management, Bangalore: “For all conglomerates, the ability to marry good governance with the right

competitive strategy is the key to success.”

## KEY GROWTH DRIVERS

What are the key drivers for Indian conglomerates today? They include macro factors like the Indian economy’s stage of development to more specific elements like leadership, clarity of purpose, governance standards, global competitiveness and successful change management.

It was once said Ambition + Money makes Ambani. Today, not only is this axiom true of Reliance Industries, but applies equally to

other large groups like the Tatas, Mahindras, Aditya Birla, Bharti Enterprises and Adani Enterprises.

Many large units of Tata, Godrej, Bharti, M&M and Adani have ventured successfully into not only the developing countries of Africa and South-East Asia, but also the developed economies of North America and Europe, and even China. Today, a substantial portion of the \$100 billion Tata Group’s revenue come from outside India with the United States and United Kingdom contributing the most.

Says Professor Irfan Rizvi, Professor at the New Delhi-based

**Distinct from all the family business groups are widely held, professionally managed companies**